

Good morning, Pro Briefers!

Two markets are looking at the same economy, but are telling completely different stories.

What does that mean? The S&P 500 just closed above 7,500 for the first time ever, and the Dow climbed back into 50,000 territory.

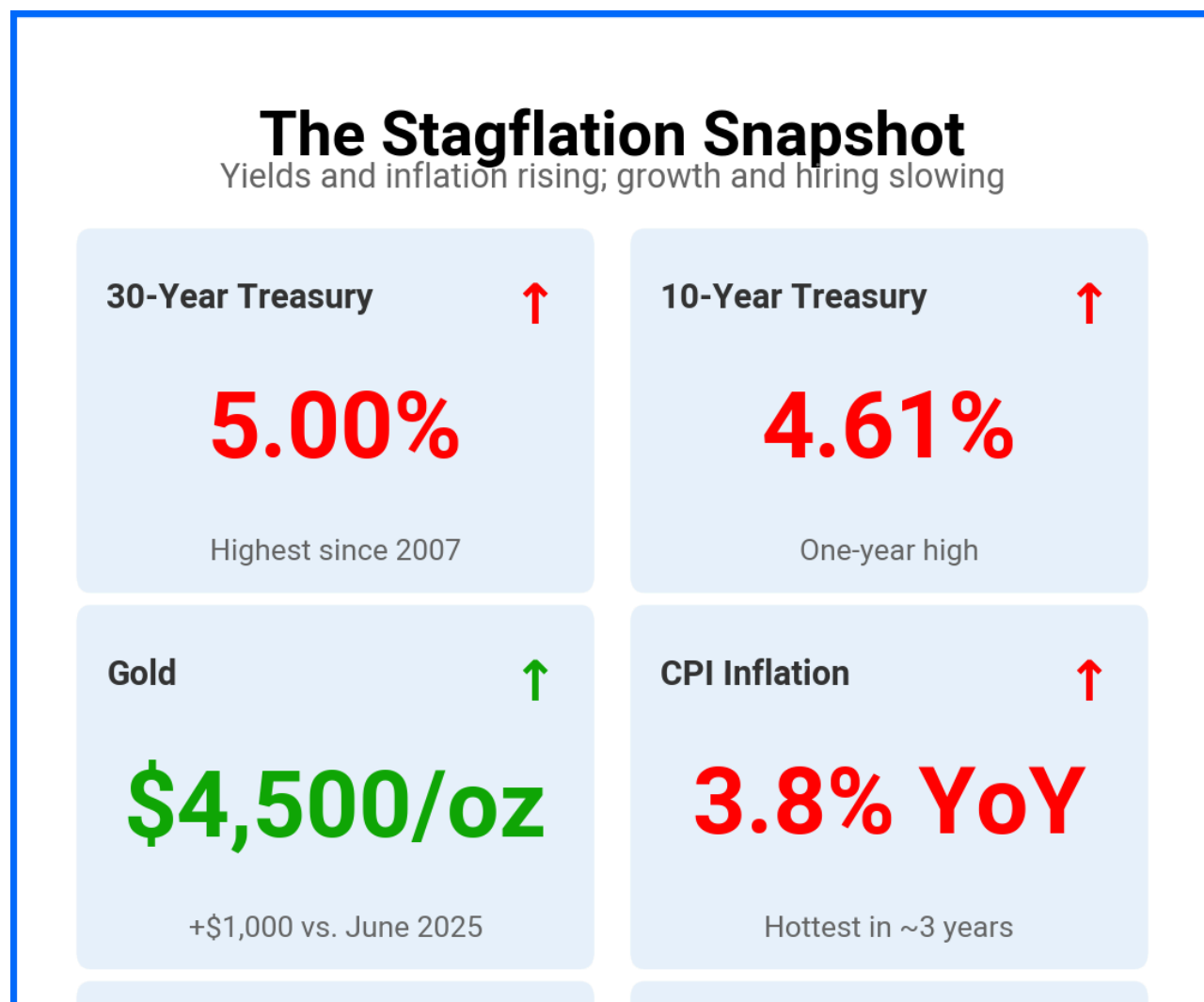
At the same time, bonds and commodities are moving higher, too.

On May 13, the U.S. 30-year Treasury yield went above 5%, its highest point since 2007.

- The 10-year hit 4.61%, a one-year high.
- Gold has cooled from its record highs set earlier in 2026, but is still hovering at around \$4,500/ounce, \$1,000 more than June, 2025.

When bonds and gold move together like this, that usually means one thing: Inflation isn't going away.

The data backs up this claim.



Hiring



115k jobs

Pace has stalled

GDP Growth



2.0%

Soft quarterly print

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Data [via](#) Briefs Terminal

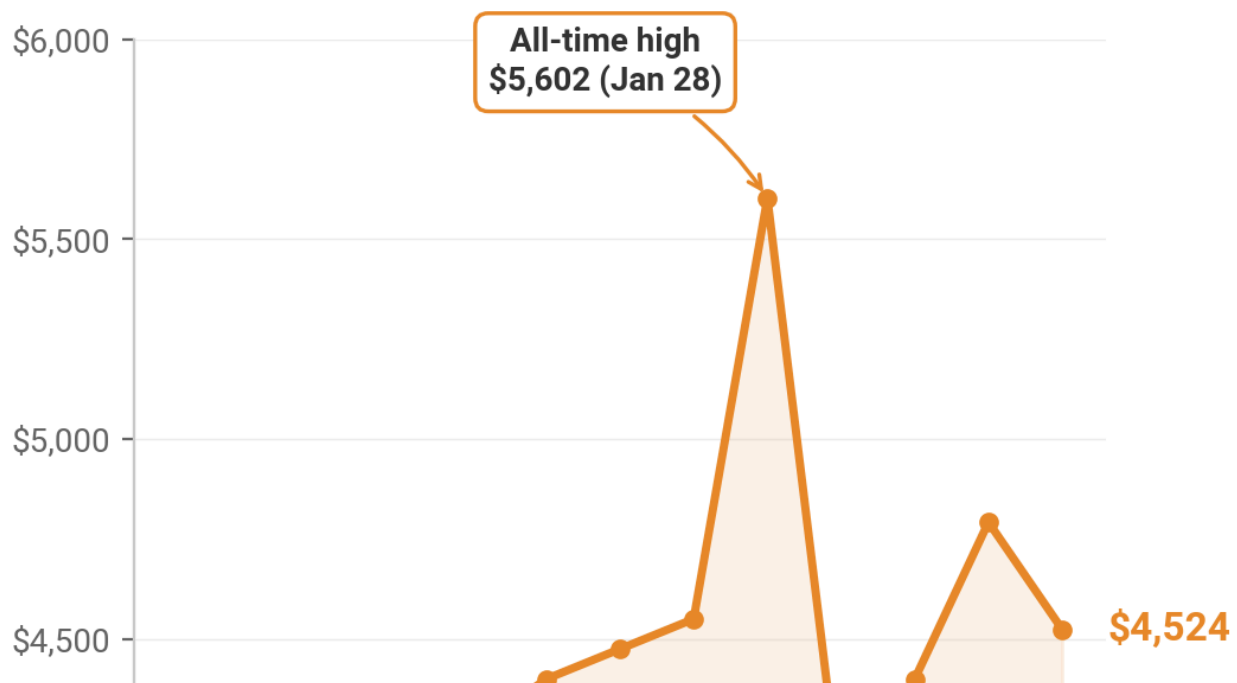
April inflation came in at 3.8% year-over-year - the hottest pace consumers have seen in nearly three years.

Worker paychecks are losing the race against prices for the first time in three years. Hiring is stalling at 115,000 jobs, and GDP growth came in at a soft 2% for the quarter.

The bottom line: Investors now have to navigate stagflation - when the economy stops growing but prices keep climbing.

Gold's Bull Run, Then Cooldown

Spot gold, USD per troy ounce (approx. monthly)





Data [via](#) Briefs Terminal

This is where we've identified a Wall Street shift:

Capital is rotating away from speculative AI growth and into real assets, pricing-power businesses, and inflation hedges.

Let's break down why investors may want to pay attention to this shift.

ANALYST TAKE

Tickers we're tracking:

Defensive anchor: **BRK-B**

AI power play: **VST**

Energy: **CVX**

Defense: **LMT**

Gold hedge: **WPM**

Stagflation Problem

Smart money has already moved into industries that are capital heavy, but may offer investors some protection against inflation:

- Energy stocks up about 29% year-to-date.
- Materials up about 17%.
- Staples up about 15%.
- Industrials up about 12%.

So far, the S&P 500 has shown growth despite stagflation concerns brewing - this is mostly because of the Magnificent 7 stocks like Meta, Apple, and Google.

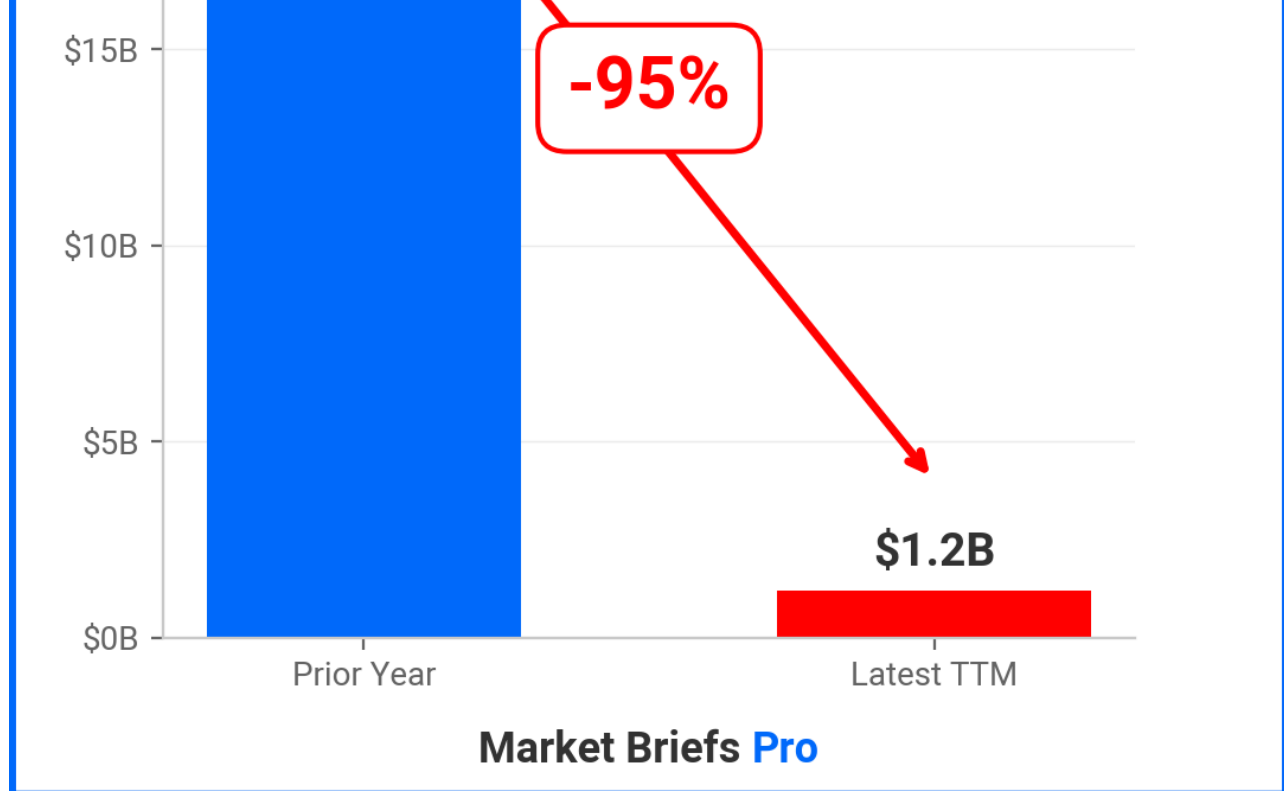
However, money has already started moving - and three forces are driving the rotation now.

First, the AI cash problem nobody wants to talk about.

Capex - money spent on buildings, equipment, and data centers - roughly doubled at every big AI player last quarter.

- Amazon's free cash flow dropped 95% in a year - from \$25.9 billion to just \$1.2 billion - as AI spending ramps up.





Data [via](#) Amazon's 10-Q

When Meta raised its 2026 capex forecast to \$125 to \$145 billion, the stock fell 7% in after-hours trading - that's a big bet that investors are worried might not pay off.

Second, there's a new Fed Chair: Kevin Warsh. But it's unlikely that the Fed lowers rates, due to high inflation and growing job losses.

Third, the Iran war isn't actually over.

A ceasefire kicked in on April 8, but Trump just called it "on massive life support." The Strait of Hormuz remains closed, and Brent crude trades at \$110+ per barrel.

In short, companies are spending a lot on AI, inflation is high, and job losses + the war in Iran are hurting our economy.

Three Forces Driving The Rotation

**The AI Cash Crunch: Amazon FCF
wiped out 95% in a year; Meta guides**

2026 capex to \$125-145B and the stock fell 7% after hours.

A New Fed Chair: Kevin Warsh takes the chair, but rate cuts are unlikely with inflation at 3.8% and hiring stalling.

Iran War Drags On: Strait of Hormuz still closed, Brent above \$110, Trump calls the ceasefire "on massive life support."

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This stagflation problem could lower profits for businesses - as higher inflation means bigger operational costs and lower consumer spending might mean fewer sales.

So, what can investors do? Smart money is moving into businesses that have the capital to weather any potential storm, or have a business that insulates them from inflation.

Let's show you an actual strategy you can use as inspiration to potentially capitalize on this Wall Street Shift.

DEFENSIVE ANCHOR

Sitting On Cash

Berkshire Hathaway (BRK-B) is the anchor of this strategy.

And the reason is simple - cash.

Berkshire ended Q1 with a record \$397 billion in cash and short-term Treasuries. Most of that sits in T-bills earning about 4%.

New CEO Greg Abel sold \$8.1 billion more in stocks than he bought during the quarter and operating profits jumped 18%.

Berkshire's Record Cash Pile

Q1 2026 — cash and short-term Treasuries

\$397B

in cash + short-term Treasuries

~4%

Yield earned on T-bill
position while waiting

\$8.1B

Net stock sales by
Abel in Q1

\$300B

Cash floor that would
weaken the safety net

Data [via](#) Berkshire's 10-Q

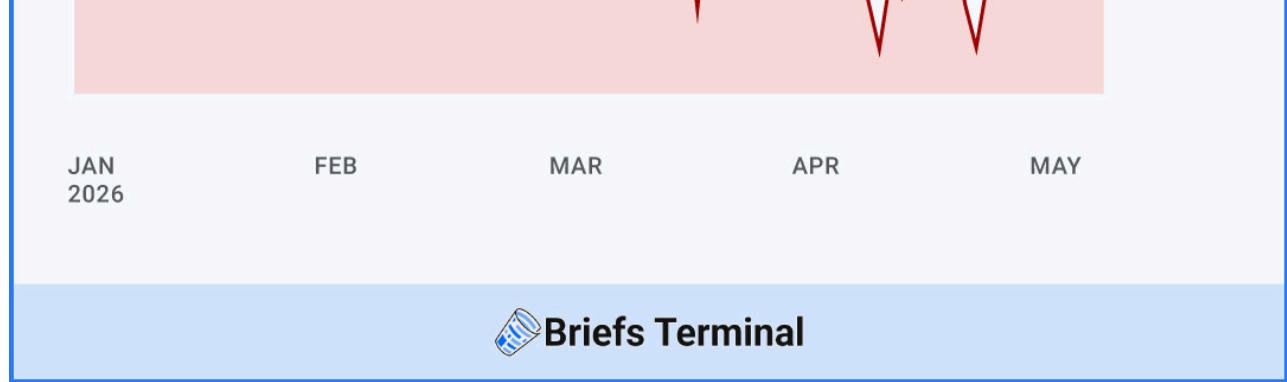
When the most patient value investor on Earth is hoarding cash at record highs, that tells you something. Smart money is waiting for better prices.

The investing case:

- If stocks drop, Berkshire has \$397 billion ready to deploy.
- If stocks don't drop, the cash still earns 4%.
- Operating businesses (insurance, rail, energy) carry pricing power in stagflation.
- Embedded Occidental Petroleum stake adds indirect energy exposure.

This is what we call "asymmetric upside."





Data [via](#) Briefs Terminal

Heads, Berkshire wins big.

Tails, the cash position protects on the downside.

Exit trigger: If Berkshire's cash position drops below \$300 billion through aggressive buying at current valuations, that safety net gets weaker.

AI POWER PLAY

Energizing AI

Vistra (VST) is the cheap way to play AI without owning AI stocks.

Here's the story: AI data centers need massive amounts of electricity.

The big tech players are signing 20-year power purchase agreements with nuclear operators to lock in supply.

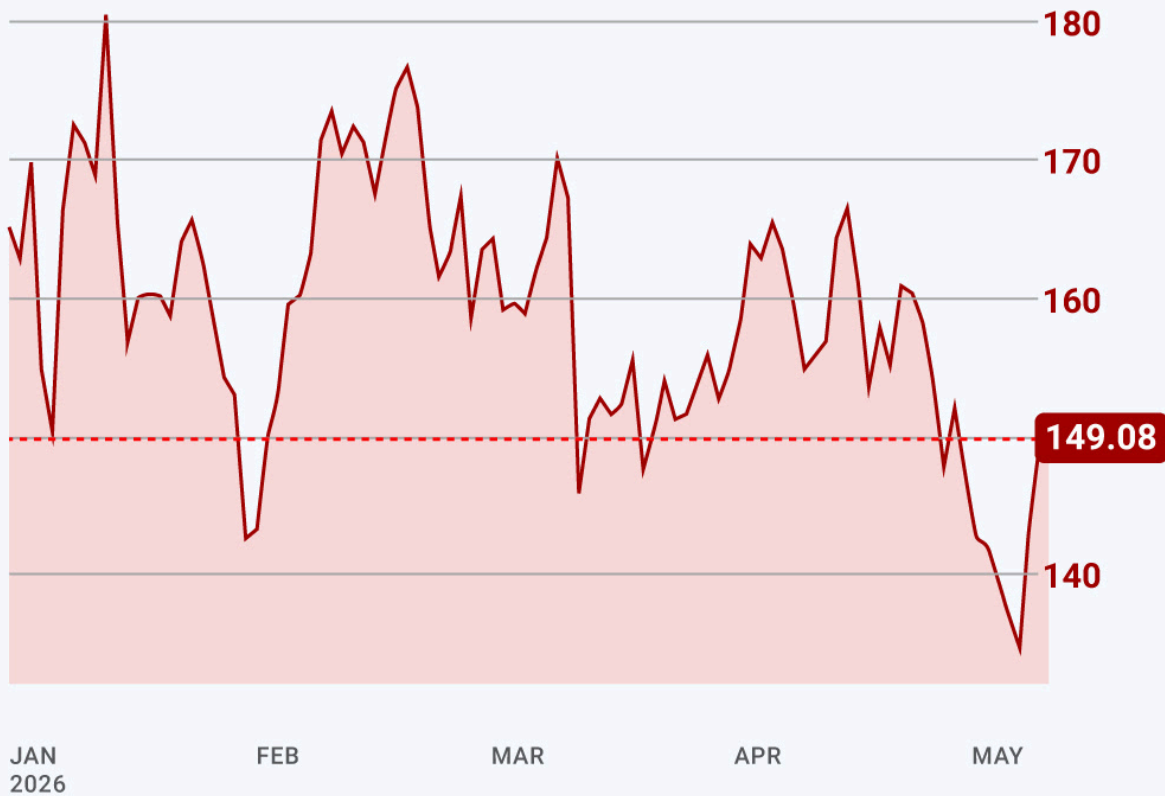
Microsoft signed a \$1.6 billion, 20-year deal with Constellation Energy to restart Three Mile Island back in 2023.

Vistra is a power company, focusing on natural gas, nuclear, solar, and battery storage - power sources data centers need.

Vistra Corp. (VST)

YTD Price

\$149.08
(-7.59%)



 **Briefs Terminal**

Data [via](#) Briefs Terminal

Even if AI stocks crack from free cash flow pressure, the power contracts the AI companies already signed don't disappear.

Power demand stays locked in for years.

Vistra also has Texas grid exposure. Texas leads the country in new data center construction.

Exit trigger: If a major AI power purchase agreement gets canceled or repriced, that will hit Vistra in the short term, breaking the opportunity.

Oil's Next Move

Chevron (CVX) just reported its worst quarter in five years.

- Net income fell 36% year-over-year.

That means it's making less money - but, its fall may also create an opportunity for investors.

Why? The disappointment is already in the stock price, so most investors were expecting it.

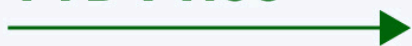
And Chevron now trades cheaper than ExxonMobil despite running similar operations.

The setup:

- Pays nearly 4% in dividends, supporting a price floor.
- Cheaper multiple than ExxonMobil.
- Hess Corporation acquisition closed, adding Guyana production.
- U.S. production base provides insulation if Iran resolves.
- Brent at \$110+ flows directly to earnings if Iran tensions continue.

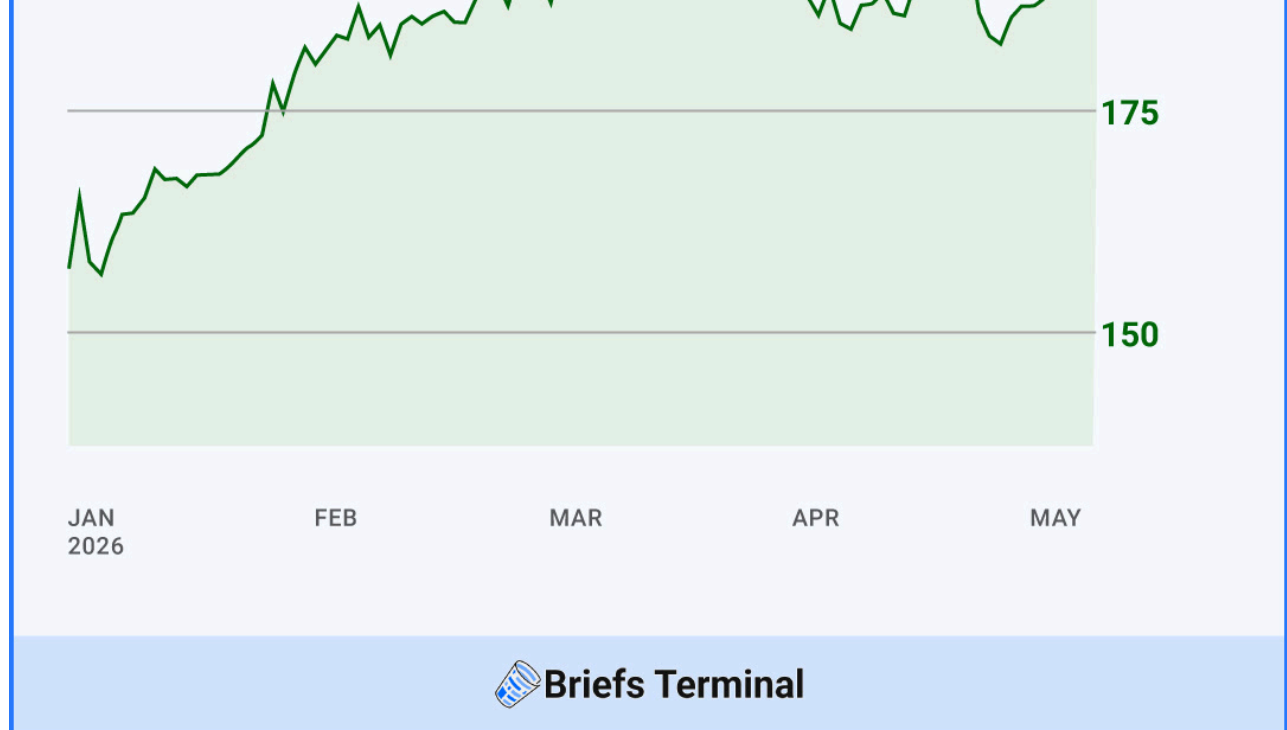
Chevron Corporation (CVX)

YTD Price



\$191.01
(25.33%)



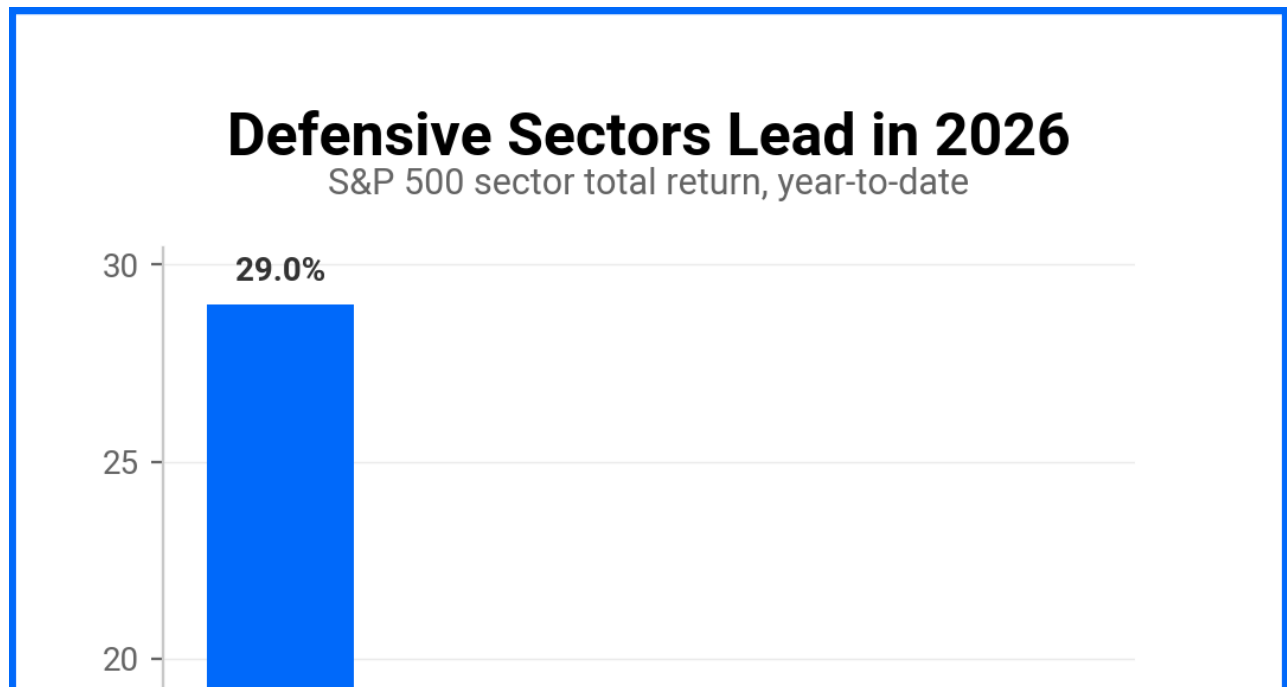


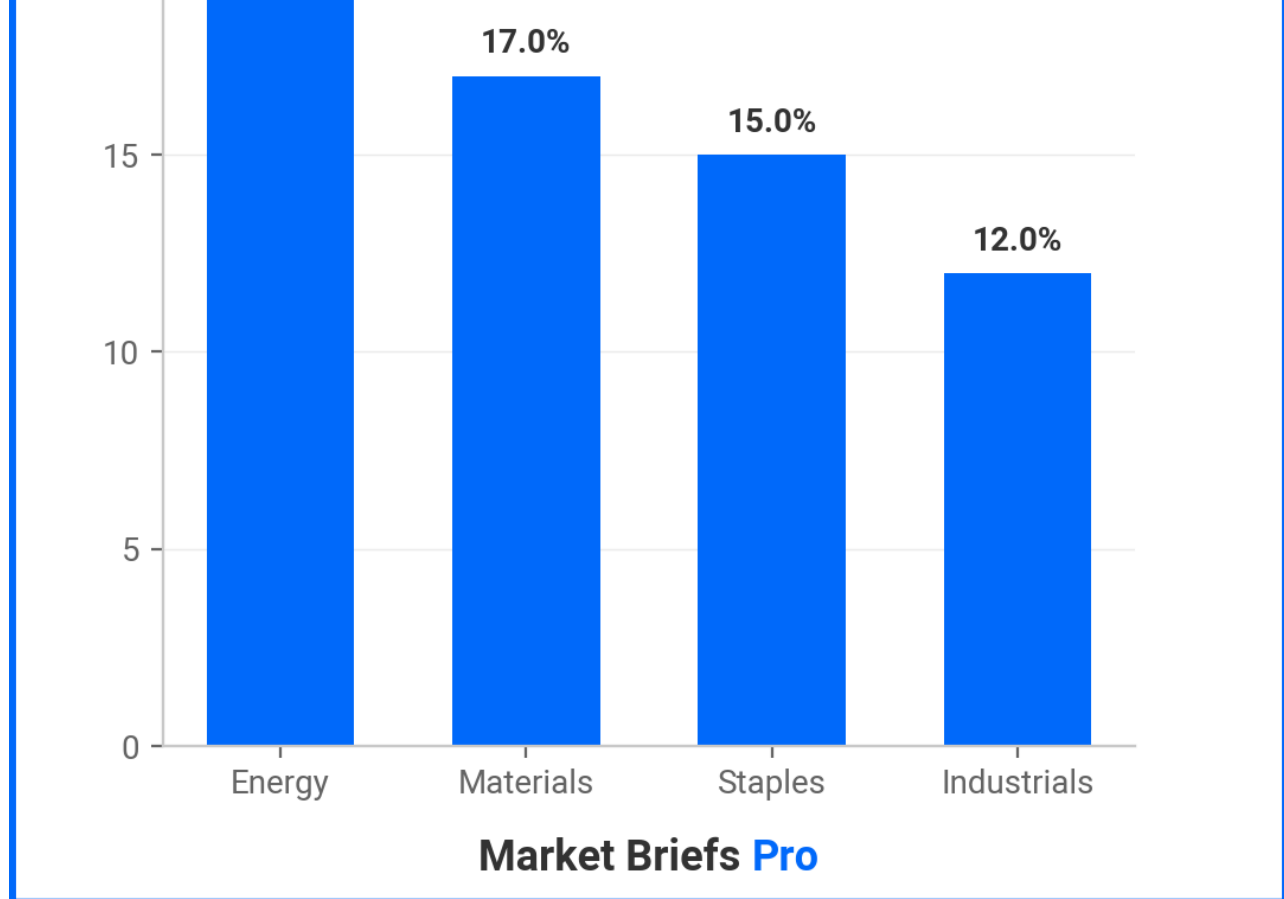
Data [via Briefs Terminal](#)

The market is treating Chevron like Iran resolves tomorrow.

But the reality is the Strait of Hormuz remains closed, President Trump just convened the National Security Council about another strike, and military analysts now expect this conflict to drag on for months at minimum.

Brent crude at around \$110 per barrel means one thing: The energy industry is pricing in continued disruption, not a quick resolution.





Data [via](#) Briefs Terminal

That gives it an opportunity to profit while the war drags on, and its recent acquisitions give it an edge over competitors, all while trading at a lower price.

Exit trigger: If Brent crude trades under \$80 for three weeks straight, some of Chevron's advantages disappear, and its share price might not make sense to buy.

DEFENSE

The Defense Budget Is Growing

Defense spending is one of the few things both parties in Washington still agree on.

The White House requested a \$1.5 trillion defense budget for FY2027 - the largest in history.

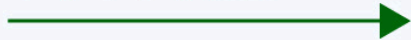
- The Iran war supplemental of \$50 to \$200 billion is still pending Congressional approval.

- \$4.7 billion PAC-3 missile contract signed in April.
- Deal to lift THAAD missile defense output four-fold, from 96 units a year to 400, over seven years.
- New munitions acceleration center under construction in Camden, Arkansas.
- F-35 program backlog spans multiple decades.

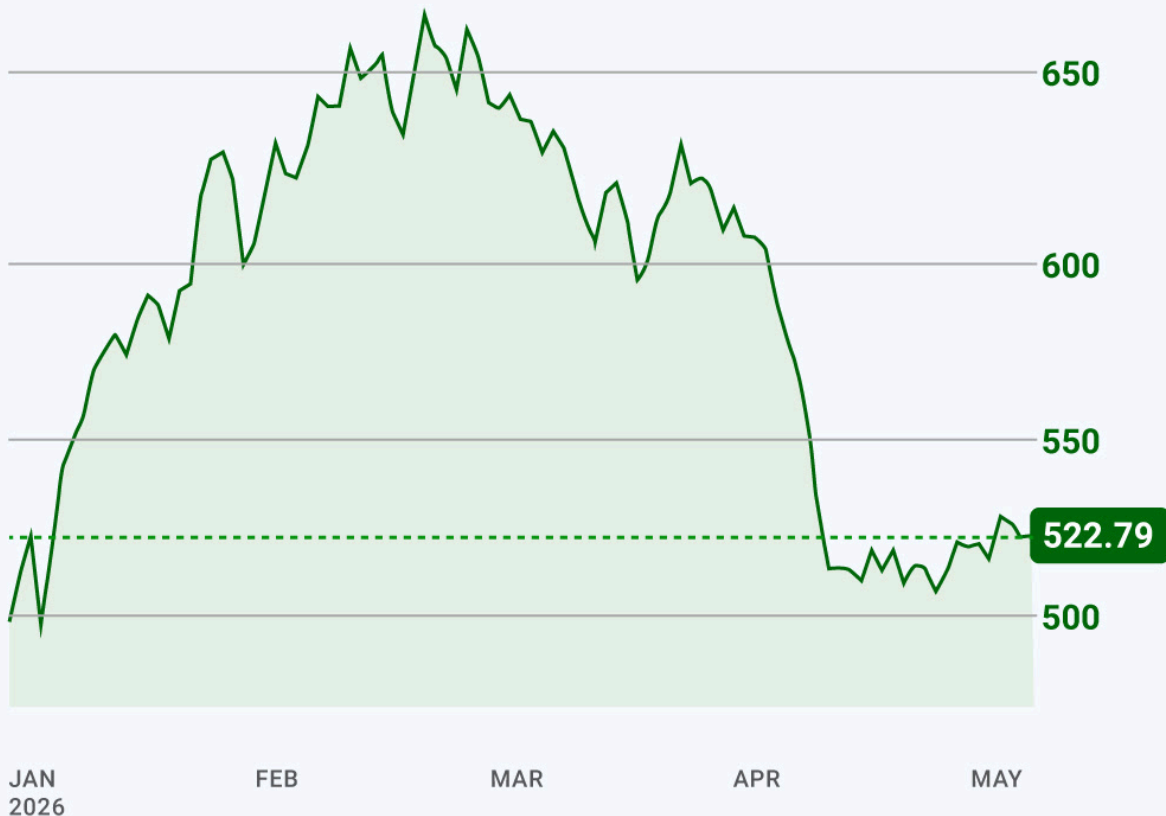
What makes this an opportunity? Regardless of stagflation or if the war in Iran ends, defense spending is growing, and will likely continue to do so.

Lockheed Martin Corporation (LMT)

YTD Price



\$522.79
(8.09%)



Data [via](#) Briefs Terminal

Rising defense spending also combines with a few short-term advantages that are stacking for Lockheed right now:

- Iran war supplemental drives near-term orders.
- The U.S. may provide more defense systems to Taiwan, which involves LMT.
- NATO members continue their post-Ukraine refresh.
- Missile defense is an ongoing trend that doesn't depend on any single conflict.

Lockheed shares ran up about 40% year-over-year through early March - there's likely to be a dip in its share price whenever the Iran war ends, but it's likely to be short term.

Exit trigger: Congress is currently considering the Iran supplemental spending budget increases.

If it fails to pass Congress and a ceasefire holds for 60 days, defense procurement could slow, along with LMT's growth.

GOLD HEDGE

Gold Is On The Move

Wheaton Precious Metals (WPM) is the gold play with a twist.

How? It doesn't own or run mines.

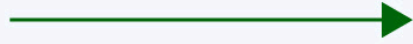
Wheaton gives mining companies cash now.

In return, Wheaton gets to buy a portion of whatever gold (or silver) those mines produce in the future - at a price that's already agreed upon and much cheaper than market rate.

It then sells that gold at a higher price later, pocketing the difference between its locked-in purchase price and the market sale price.

Corp. (WPM)

YTD Price



\$127.24
(7.03%)



Briefs Terminal

Data *via* Briefs Terminal

This model may beat stagflation in the long term - here's how:

- No exposure to rising mining costs.
- Gross margins of 77% are structural, not cyclical.
- 99% precious metals exposure (62% gold, 36% silver).

2025 proved the model works - Wheaton's gross margin jumped 108% to \$1.7 billion on 2.3 billion in revenue.

The macro case: Central banks keep buying gold, and the dollar has been losing value as inflation rises.

Gold is considered a real asset - it takes time, money, and energy to produce. This means it typically keeps its value during times of inflation or economic stress.

- JPMorgan Global Research forecasts gold could end the year at \$5,055 per ounce.

That's about 11% upside from here on gold alone. Wheaton typically moves more than spot gold thanks to its operating leverage.

Exit trigger: If gold drops below \$4,000 per ounce and the dollar index rises above 102 (it's currently at 99 as of May 22nd, 2026), the economy is recovering, and gold will likely continue falling while other assets like stocks go up in value.

GOING BEYOND

Cash And Bonds

Investors can take a page out of Berkshire's book and consider bonds directly as well.

4-to-13-week Treasury bills are returning to investors around a 4% yield as of late May, 2026.

That's higher than the inflation rate - plus, having cash on hand gives investors the chance to buy assets on sale if there's a market downturn or crash.

The plan is to deploy this cash if late-July hyperscaler earnings trigger a market downturn.

Holding cash and earning 4% from yields protects investors from inflation in the meantime, and gives them some returns in case a downturn does not happen.

RISKS

How This Shift Could Change

Iran resolves faster than expected. A real ceasefire holds, the Strait of Hormuz reopens, and Brent drops back toward \$75 to \$80.

- In a onw e y a n s scenar o an e economy cou recover.

Hyperscaler revenue catches up to capex. If Q2 earnings show Alphabet's cloud backlog converting faster than expected or Microsoft's AI revenue surprises, companies will likely keep spending on AI.

Warsh caves to political pressure. A surprise cut sends gold downward, but also fires up risk assets short-term.

- Stocks will rise, and cash sits on the sidelines losing value.

Concentration risk. This is the biggest risk - 5 stocks are very concentrated on this particular shift.

What Could Break The Thesis



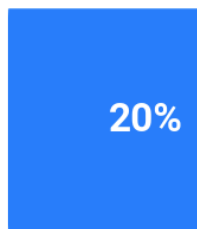
Concentration risk

Five-stock portfolio; one bad print hits harder than in a 30-name book.



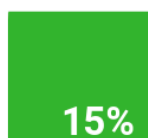
Hyperscaler FCF recovers

Cloud backlog converts; AI capex worries fade and money rotates back.



Warsh caves to politics

Surprise rate cut fires up risk assets; cash drag, gold pulls back.



Iran resolves quickly



Hormuz reopens, Brent toward \$75-80;
inflation cools and the trade unwinds.

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However, one bad earnings print at Lockheed, a dividend cut at Chevron, or a missed quarter at Vistra hits harder than in a 30-stock portfolio.

The one condition that breaks the whole thesis is all three factors flipping at once - Iran resolves, inflation cools under 3%, and at least one hyperscaler stabilizes free cash flow.

If those line up, investors may want to reconsider this strategy, as the shift is beginning to change.

REVIEW

Where Smart Money Is Moving

Investors are facing a stagflation problem - but, like all market shifts, smart money is moving into a strategy that can still potentially profit.

Our strategy involves a combination of 5 stocks, bonds, and cash that may be able to weather this stagflation storm for the long term.

If you choose to invest in this shift, do your own due diligence and allocate your portfolio in a way that makes sense for you.

But the shift is clear - stagflation is here for the long term and investors who prepare now may be able to benefit no matter what happens for years to come.



- Market Briefs Pro Team

*The Market Briefs Pro team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.

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